

Run-Off Operations

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to a _non-directive insurer_.

1.2

In this Part, the following definitions shall apply:

has the meaning given in section 4F(3) of Schedule 6 to _FSMA_.

material transaction

means a transaction (or a series of similar transactions in aggregate) in which:

1. (1) the price actually paid or received for the transfer of assets or liabilities or the performance of services; or
2. (2) the price which would have been paid or received had that transaction been negotiated at arm's length between unconnected parties;
3. exceeds:
 1. (a) in the case of a _firm_ which carries on _long-term insurance business_ , but not _general insurance business_ , the sum of ?20,000 and 5% of the _firm's_ liabilities arising from its _long-term insurance business_ , excluding _linked long-term liabilities_ and net of _reinsurance_ ceded; or
 2. (b) in the case of a _firm_ which carries on _general insurance business_ , but not _long-term insurance business_ , the sum of ?20,000 and 5% of the firm's liabilities arising from its _general insurance business_ , net of _reinsurance_ ceded; or
 3. (c) in the case of a _firm_ which carries on both _long-term insurance business_ and _general insurance business_ :
 1. (i) where the transaction is in connection with the _firm's_ long-term insurance business_ , the sum of ?20,000 and 5% of the _firm's_ liabilities arising from its _long-term insurance business_ , excluding _linked long-term liabilities_ and net of _reinsurance_ ceded; and
 2. (ii) in all other cases, the sum of ?20,000 and 5% of the _firm's_ liabilities arising from its _general insurance business_ , net of _reinsurance_ ceded.

scheme of operations

means a scheme which:

1. (1) describes the nature of the risks which the _firm_ is underwriting, or intends to underwrite, and the guiding principles which it intends to follow in reinsuring or covering those risks; and
2. (2) contains the information required under 6.

2

Ceasing to Effect Contracts of Insurance

2.1

If a firm decides to cease to effect new contracts of insurance in respect of the whole of its insurance business, it must, within 28 days of that decision, submit a run-off plan to the PRA including:

1. (1) a scheme of operations in accordance with 6; and
2. (2) an explanation of how, or to what extent, all liabilities to policyholders will be met in full as they fall due.

2.2

For the purposes of 2.1, a new contract of insurance excludes contracts effected under a term in a subsisting contract of insurance.

3

Margin of Solvency Below Required Margin of Solvency

3.1

This Chapter only applies to a non-directive friendly society (other than a flat rate benefits business friendly society).

3.2

If a firm's margin of solvency no longer equals to or exceeds its required margin of solvency, it must, within 28 days of becoming aware of this event, submit to the PRA a plan for the restoration of a sound financial position, including:

1. (1) a scheme of operations; and
2. (2) an explanation of how, if at all, and by when, it expects its margin of solvency to be adequately restored to the required margin of solvency.

4

Margin of Solvency Below Guarantee Fund

4.1

This Chapter only applies to an incorporated friendly society.

4.2

If a firm's margin of solvency falls below its guarantee fund, it must, within 28 days of the firm becoming aware of this event, submit to the PRA, a short-term financial plan, including:

1. (1) a scheme of operations; and
2. (2) an explanation of how, if at all, and by when, it expects its margin of solvency to be adequately restored to the guarantee fund.

5

Capital Resources Below CR Requirement

5.1

This Chapter applies to a _non-directive insurer_ (other than a _non-directive friendly society_).

5.2

If a _firm's_ capital resources_ fall below its _CR Requirement_ , it must, within 28 days of becoming aware of this event:

1. (1) notify the _PRA_ ; and
2. (2) submit a plan for restoration, which:
 1. (a) explains why the _firm's_ capital resources_ have fallen below its _CR Requirement_ ; and
 2. (b) demonstrates how, if at all, and by when, it expects its _capital resources_ to be restored to its _CR Requirement_.

6

Content of Scheme of Operations

6.1

In accordance with 6.2, a _scheme of operations_ must:

1. (1) describe the _firm's_ run-off strategy;
2. (2) include a description of the business underwritten by the _firm_ ;
3. (3) include the following financial projections (including appropriate scenarios and stress-tests) as applicable:
 1. (a) a forecast summary profit and loss account in accordance with 6.3;
 2. (b) a forecast summary balance sheet in accordance with 6.4;
 3. (c) in the case of a _non-directive friendly society_ only, a forecast statement of its _margin of solvency_ and _required margin of solvency_ at the end of each _financial year_ or part _financial year_ ;
 4. (d) in the case of an _incorporated friendly society_ only, a forecast statement of its _margin of solvency_ and _guarantee fund_ at the end of each _financial year_ or part _financial year_ ; and
 5. (e) in the case of a _non-directive insurer_ (other than a _non-directive friendly society_), a forecast statement of _capital resources_ and the _CR Requirement_ at the end of each _financial year_ or part _financial year_ ;
4. (4) as at the end of each _financial year_ which falls (in whole or part) within the period to which the _scheme of operations_ relates:
 1. (a) describe the assumptions which underlie those forecasts and the reasons for adopting those assumptions; and
 2. (b) identify any _material transactions_ proposed to be entered into or carried out with, or in respect of, any associate or any other _person_ with whom the _firm_ has _close links_ ;
5. (5) cover the run-off period until all _liabilities to policyholders_ are met.

6.2

The information required by 6.1 must:

1. (1) in the case of a _non-directive friendly society_ (other than a _flat rate benefits business friendly society_), reflect the nature and content of the _rules_ relating to the _margin of solvency_ and the _required margin of solvency_ ;
2. (2) in the case of an _incorporated friendly society_ , reflect the nature and content of the _rules_ relating to the _margin of solvency_ and the _guarantee fund_ ;
3. (3) in the case of a _non-directive insurer_ (other than a _non-directive friendly society_), reflect the nature and

content of the _rules_ relating to _capital resources_ applicable to a _firm_ ; and

4. (4) where a _firm_ carries on both _long-term insurance business_ and _general insurance business_ , be separated for _long-term insurance business_ and _general insurance business_.

6.3

The forecast summary profit and loss account referred to in 6.1(3) (a \a") must contain the following information:

1. (1) _premiums_ and claims (gross and net of _reinsurance_) analysed by accounting _class_ of _insurance business_ ;
2. (2) investment return;
3. (3) expenses;
4. (4) other charges and income;
5. (5) taxation; and
6. (6) dividends paid and accrued.

6.4

The forecast summary balance sheet referred to in 6.1(3) (b \b)") must contain the following information:

1. (1) investments analysed by type;
2. (2) assets held to cover _linked long-term liabilities_ ;
3. (3) other assets and liabilities separately identifying cash at bank and in hand;
4. (4) capital and reserves analysed into called up share capital or equivalent funds, share premium account, revaluation reserve, other reserves and profit and loss account;
5. (5) subordinated liabilities;
6. (6) the fund for future appropriations;
7. (7) _technical provisions_ gross and net of _reinsurance_ analysed by accounting _class_ of _insurance business_ and separately identifying the provision for _linked long-term liabilities_ , unearned _premiums_ , unexpired risks and equalisation; and
8. (8) other liabilities and credits.

7

Submitted Schemes of Operation

7.1

A firm which has previously submitted a _scheme of operations_ to the PRA must, during the period covered by that _scheme of operations_ :

1. (1) notify the _PRA_ at least 28 days before entering into or carrying out any _material transaction_ with, or in respect of, an associate or any other _person_ with whom the _firm_ has _close links_ , unless that transaction is in accordance with a _scheme of operations_ which has been submitted to the _PRA_ :
2. (2) notify the _PRA_ promptly of any matter which has happened or is likely to happen and which represents a significant departure from the _scheme of operations_ and either:
 1. (a) explain the nature of the departure and the reasons for it and provide revised forecast financial information in 6.1 (3)") in the _scheme of operations_ for its remaining term; or
 2. (b) provide an amended _scheme of operations_ and explain the amendments and the reasons for them.